Impact on India's GDP

The impact of demonetization on India's GDP has been much contested and debated since its announcement.

Manmohan Singh, former RBI Governor, Finance Minister, and Prime Minister of India and a highly-respected economist, had forecast a drop of two per cent in India's GDP, saying, 'In my opinion, the way the scheme has been implemented will hurt agricultural growth in our country, will hurt small industry, will hurt all those people who are in the informal sector of the economy. And my own feeling is that the national income, that is the GDP, can decline by about two per cent as a result of what has been done. This is an underestimate, not an overestimate.'[3]

On the other hand, globally-acclaimed economists such as Jagdish Bhagwati, Professor of Economics, Law, and International Relations at the Columbia University, maintained that demonetization would increase growth, asserting, 'On the effects of demonetization on growth, I should say that I was the one economist who had argued, from first principles, that demonetization would increase, not diminish, growth.'[4]

Before we assess the data on this important subject, it may be helpful to understand what lies behind the GDP number itself, how the GDP is calculated, what is included, and what is not.

Simply stated, GDP is a measure of the economic size of a country. It is viewed as the single number that is representative of the monetary value of all the finished goods and services produced within a country's borders in a specific period of time. It is the standard indicator used globally to indicate the health of an economy.

Though easy to define, GDP is often criticized as being a poor measure of economic welfare or even the health of the economy. For instance, GDP only measures output that is bought and sold; hence activities that have tremendous value but no price, such as the work of a housewife or the caring for an elderly parent, are not accounted for.